

FORWARD-LOOKING STATEMENTS

We have included statements in this report which contain words or phrases such as “will”, “aim”, “will likely result”, “believe”, “expect”, “will continue”, “anticipate”, “estimate”, “intend”, “plan”, “contemplate”, “seek to”, “future”, “objective”, “goal”, “project”, “should”, “will pursue” and similar expressions or variations of these expressions, that are “forward-looking statements”. Actual results may differ materially from those suggested by the forward-looking statements due to certain risks or uncertainties associated with our expectations with respect to, but not limited to, our ability to implement our strategy successfully, the market acceptance of and demand for various banking services, our ability to realize certain anticipated benefits of the Transaction, future levels of our non-performing or impaired assets, our growth and expansion, the adequacy of our management of credit risks and our provision/allowance for credit and investment losses, technological changes, the adequacy of our information technology and telecommunication systems, including against cybersecurity threats, negative publicity, volatility in investment income, our ability to market new products, cash flow projections, the outcome of any legal, tax or regulatory proceedings in India and in other jurisdictions we are or become a party to, the future impact of new accounting standards, our ability to pay dividends, the impact of changes in banking regulations and other regulatory changes on us in India and other jurisdictions, our ability to roll over our short term funding sources and our exposure to market and operational risks. By their nature, certain of the market risk disclosures are only estimates and could be materially different from what may actually occur in the future. As a result, actual future gains, losses or impact on net income could materially differ from those that have been estimated.

In addition, other factors that could cause actual results to differ materially from those estimated by the forward-looking statements contained in this document include, but are not limited to: the war in Iran, involving the United States and Israel, and the escalating regional instability in the Middle East, which have complicated the geopolitical landscape and contributed to significant volatility in oil and energy prices; geopolitical tensions between India and Pakistan, which have increased significantly following the deadly terrorist attack on tourists in Pahalgam in Jammu and Kashmir in April 2025, and have already impacted major treaties and diplomatic relations, with a lingering risk of sudden escalation in military conflict between India and Pakistan; geopolitical tensions between India and China; general economic and political conditions; instability or uncertainty in India and the other countries which have an impact on our business activities or investments caused by any factor, including terrorist attacks in India, the United States or elsewhere, anti-terrorist or other attacks by the United States, a United States-led coalition or any other country, such as the joint strike launched by the United States and the United Kingdom in Yemen following the Houthis group’s attack on international ships in the Red Sea; the ongoing war between Russia and Ukraine; the geopolitical conflict between Israel and Hamas; military armament or social unrest in any part of India; rising tensions in the South China Sea and the Taiwan Strait, which may disrupt regional trade and supply chains; the monetary and interest rate policies of the RBI; natural calamities, pandemics, inflation, deflation, unanticipated turbulence in interest rates, foreign exchange rates, equity prices or other rates or prices; the performance of the financial markets in India and globally; compliance with and changes in Indian and foreign laws and regulations, including tax, accounting, labor, banking regulations, insurance regulations and securities regulations; increasing cybersecurity threats, including ransomware attacks, data breaches, AI-enabled social engineering, and attacks on critical financial and digital infrastructure; reliance on inaccurate third-party data; the growing risk of climate change and extreme weather events, including floods, heatwaves and storms; disruptions to domestic and global supply chains arising from geopolitical conflicts, trade restrictions, natural disasters or pandemics; workforce-related risks, including talent shortages, the rapid technological change and AI adoption, including in our business; changes in competition and the pricing environment in India; regional or general changes in asset valuations; uncertainties arising out of foreign trade and tariff policies followed by major global economies, such as the United States and China; and concerns about AI developments and governance. For further discussion on the factors that could cause actual results to differ, see “*Risk Factors*”.

Macro-economic Trends

Global Growth

Following the COVID-19 pandemic, in 2023, global growth was 3.2 percent, with stronger growth than anticipated in the United States and several major emerging markets and developing economies. Global growth was 3.3 percent in 2024 according to the IMF, with growth in the United States estimated at 2.8 percent, while growth in China was 5.0 percent. Global growth improved to 3.5 percent in 2025 with growth in the United States estimated at 2.1 percent, while growth in China remained stable at 5.0 percent, according to the IMF. For 2026, the IMF expects global growth to moderate to 3.0 percent from 3.3 percent projected prior to the beginning of the conflict in the Middle East involving Iran, Israel and the United States, with downside risks arising from geopolitical tensions, tighter financial conditions, and elevated commodity prices. GDP growth in the United States is expected to hold up at 2.3 percent while China’s GDP growth is expected to decrease to 4.6 percent.

Indian GDP Growth

For the full fiscal year 2023, India’s GDP growth stood at 7.6 percent. Following reforms and revisions to the calculation of GDP estimates by the National Statistical Office (“NSO”) and Ministry of Statistics and Programme Implementation (“MoSPI”) in India, where the base year was revised to fiscal year 2023 instead of fiscal year 2012, GDP growth stood at 7.2 percent in fiscal year 2024, driven by higher investment and strong manufacturing sector growth. GDP growth remained stable at 7.1 percent in fiscal year 2025, drawing support from services, agriculture and the export sector. In fiscal year 2026, India’s GDP growth improved to 7.7 percent. The improvement was primarily driven by a rebound in consumption demand on account of GST rate cuts and monetary policy easing by the RBI.

Looking forward, the RBI estimates India’s GDP to grow by 6.6 percent in fiscal year 2027, as elevated energy and other commodity prices and shocks to the availability of inputs due to disruptions in the Strait of Hormuz are likely to adversely impact growth. However, sustained momentum in consumption demand, supported by GST rate cuts, and healthy balance sheets of financial institutions and corporates are likely to provide support.

Inflation in India

Consumer Price Index (“CPI”) inflation averaged 5.4 percent for the full fiscal year 2024, moderating compared to 6.6 percent in fiscal year 2023, primarily on account of a favorable base effect caused by high inflation in fiscal year 2023. Inflation further moderated to 4.6 percent in fiscal year 2025, primarily on account of the sharp correction in food prices between November 2024 and March 2025. For fiscal year 2026, inflation averaged 2.1 percent, supported by moderation in food prices and GST rate cuts.

The RBI expects CPI inflation to average 5.1 percent in fiscal year 2027 considering the pressure from higher energy prices. Additional risks that may impact the forecasts primarily relate to a prolonged conflict in the Middle East and the related disruption of energy supplies, and the rising probability of the El Niño climate phenomenon in 2026 that could impact the seasonal rainfall in India, leading to pressure on food prices.

Global and Indian Interest Rates

In 2022 and 2023, major central banks raised interest rates sharply as inflation rose to record levels. The U.S. Federal Reserve increased its policy rate by 525 basis points to 5.25-5.50 percent between March 2022 and July 2023, reaching the highest level since 2007. Similarly, the European Central Bank (“ECB”) raised the policy rate by 450 basis points to 4.0 percent (deposit rate) and the Bank of England (“BoE”) increased the policy rate by 515 basis points to 5.25 percent. With moderating inflation, major central banks (including the ECB, BoE and the U.S. Federal Reserve) started cutting rates in 2024. In 2024, the ECB reduced rates by 100 basis points to 3.0 percent by the end of 2024. Similarly, the BoE reduced policy rates by 50 basis points to 4.75 percent, and the U.S. Federal Reserve also reduced rates by 75 basis points to 4.50-4.75 percent in 2024. In 2025, the U.S. Federal Reserve reduced rates further by 75 basis points, to 3.50-3.75 percent, the ECB reduced rates by 100 basis points to 2.0 percent and the BoE reduced rates by 100 basis points to 3.75 percent. As of the end of June 2026, the BoE and the U.S. Federal Reserve have continued to hold rates at 3.75 percent and 3.50-3.75 percent, respectively, while the ECB increased rates by 25 basis points to 2.25 percent in June 2026. However, the uncertainty regarding the inflation outlook due to developments in the Middle East and rising energy prices has increased the risk of inflation remaining elevated and could push major central banks to adopt a more cautious approach to rate cuts or, as the ECB did in June 2026, consider rate increases.

In India, the RBI raised the policy rate cumulatively by 250 basis points between April 2022 and April 2023, to 6.50 percent and kept the rate unchanged in 2024. The RBI cut rates by 25 basis points in each of its monetary policy meetings in February 2025 and April 2025 and by 50 basis points in June 2025, and again by 25 basis points in December 2025 with the repo rate moving from 6.5 percent in February 2025 to 5.25 percent in December 2025. Since then, the RBI has maintained the repo rate at 5.25 percent at its February 2026, April 2026 and June 2026 meetings.

Capital Spending, Fiscal Deficit and Liquidity in India

In response to the adverse impact of the COVID-19 pandemic and related disruptions, the Government sharply increased its spending. The Government then increased its capital spending plan significantly in fiscal years 2023 and 2024 to support growth, but remained on track for fiscal consolidation. The fiscal deficit stood at 5.6 percent of GDP in fiscal year 2024, decreasing to 4.8 percent of GDP in fiscal year 2025, and further to 4.4 percent in fiscal year 2026 as the Government continued on the path of fiscal consolidation.

RISK FACTORS

You should carefully consider the following risk factors in evaluating us and our business.

Economic and Political Risks

A slowdown in economic growth in India would cause us to experience slower growth in our asset portfolio and deterioration in the quality of our assets.

Our performance and the quality and growth of our assets are dependent on the health of the overall Indian economy. Indian GDP growth fluctuates from year to year due to various factors. Elevated inflation, high interest rates, weak exports, and a rollback of pandemic-related Government expenditure were some of the important factors that influenced India’s growth trajectory in fiscal year 2023. For the full fiscal year 2023, GDP growth stood at 7.6 percent. Following reforms and revisions to the calculation of GDP estimates by the NSO and MoSPI in India, where the base year was revised to fiscal year 2023 instead of fiscal year 2012, in fiscal year 2024, GDP growth stood at 7.2 percent, driven by higher investment and strong manufacturing sector growth. GDP growth remained stable at 7.1 percent in fiscal year 2025, drawing support from services, agriculture, and the export sector. In fiscal year 2026, India’s GDP growth improved to 7.7 percent. The improvement was primarily driven by a rebound in consumption demand on account of GST rate cuts and monetary policy easing by the RBI. Looking forward, the RBI estimates India’s GDP to grow by 6.6 percent in fiscal year 2027, as elevated energy and other commodity prices and shocks to the availability of inputs due to disruptions in the Strait of Hormuz may adversely impact growth. However, sustained momentum in consumption demand, supported by GST rate cuts, and healthy balance sheets of financial institutions and corporates are likely to provide support.

The Indian economy is also affected by global macroeconomic factors. Global growth slowed to 3.5 percent in 2022 due to increasing geopolitical tensions and elevated inflation levels. From 2022 and into 2023, an era of high interest rates, elevated inflation, geopolitical uncertainty, lingering stress in China’s property sector and climate chaos impacted economic confidence around the globe. Growth slowed again in 2023 to 3.2 percent and improved marginally to 3.3 percent in 2024 according to the International Monetary Fund (the “IMF”). Global growth improved to 3.5 percent in 2025 with growth in the United States estimated at 2.1 percent, while growth in China remained stable at 5.0 percent, according to the IMF. For 2026, the IMF expects global growth to moderate to 3.0 percent from 3.3 percent projected prior to the beginning of the conflict in the Middle East involving Iran, Israel and the United States, with downside risks arising from geopolitical tensions, tighter financial conditions, and elevated commodity prices. GDP growth in the United States is expected to hold up at 2.3 percent, while China’s GDP growth is expected to decrease to 4.6 percent. See also “— Financial and political instability in other countries may cause increased volatility in the Indian financial market.”

In India, gross FDI inflows stood at US\$ 94.5 billion in fiscal year 2026 as compared to a gross inflow of US\$ 81.0 billion in fiscal year 2025. Net FDI inflows increased to US\$ 6.9 billion in fiscal year 2026 as compared to US\$ 1.0 billion in fiscal year 2025. In fiscal year 2026, the increase in FDI inflows was primarily driven by government reforms, progress in India’s trade negotiations, and strong growth momentum in the economy, and was supplemented by continued FDI investments in data centers and in the services sector. Net portfolio investments experienced an outflow of US\$ 16.5 billion in fiscal year 2026, due to a heightened risk sentiment following global tariff uncertainty and the outbreak of war in the Middle East, as compared to net inflows of US\$ 2.8 billion in fiscal year 2025 and US\$ 41.0 billion in fiscal year 2024. Net FDI flows vary based on the perceived health of the Indian economy and global market developments. For example, the higher inflows seen in fiscal year 2024 were influenced by positive sentiment following the announcement of India’s inclusion in JP Morgan’s bond index. In contrast, the moderation experienced in fiscal year 2025 could be attributed to a worsening risk sentiment and increased volatility in the global markets, with net FPI outflows in equities rising to US\$ 25 billion in the second half of fiscal year 2025, compared to net inflows of US\$ 10 billion in the first half of fiscal year 2025. Debt inflows by FPIs stood at US\$ 17.5 billion in fiscal year 2025. In fiscal year 2026, the increase in FDI inflows was primarily driven by government reforms, progress in India’s trade negotiations, and strong growth momentum in the economy, and was supplemented by continued FDI investments in data centers and in the services sector.

Indian bank credit growth also experiences variations over time. Bank credit growth had improved from 10.7 percent in fiscal year 2022 (end of period) to 15.8 percent in fiscal year 2023 (end of period), and further to 19.1 percent in fiscal year 2024 (including the impact of the Transaction, where loans moved from the housing finance system to the banking system). However, credit growth moderated to 11.1 percent in fiscal year 2025 as stricter norms for unsecured retail loans by the RBI and weak consumer demand weighed on retail lending. Credit growth stood at 14.1 percent in fiscal year 2026 (end of period). The major factors that contributed to the increase in credit growth in fiscal year 2026 compared to fiscal year 2025 include the reduction in interest rates by the RBI, GST rate cuts, which aided consumption demand, and infrastructure spending by the Government. Following reforms and revisions to the calculation of GDP estimates by the NSO and MoSPI in India, where the base year was revised to fiscal year 2023 instead of fiscal year 2012, gross savings in the economy improved to 34.9 percent of GDP in fiscal year 2025, compared with 32.8 and 29.8 percent of GDP in fiscal years 2024 and 2023, respectively. Similarly, gross savings by households increased to 21.7 percent of GDP in fiscal year 2025 from 20.6 and 20.0 percent of GDP in fiscal years 2024 and 2023, respectively. Household savings in physical assets moderated marginally to 13.9 percent of GDP in fiscal year 2025 compared to 14.1 percent of GDP in fiscal years 2024 and 2023. Further, gross savings by households in financial assets moderated marginally to 12.0 percent of GDP in fiscal year 2025 from 12.3 percent and 10.9 percent of GDP in fiscal years 2024 and 2023, respectively.

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The RBI raised the policy rate cumulatively by 250 basis points between April 2022 and April 2023, to 6.50 percent and kept the rate unchanged in 2024. The RBI cut rates by 25 basis points in each of its monetary policy meetings in February 2025 and April 2025 and by 50 basis points in June 2025, and again by 25 basis points in December 2025 with the repo rate moving from 6.5 percent in February 2025 to 5.25 percent in December 2025. Since then, the RBI has maintained the repo rate at 5.25 percent at its February 2026, April 2026 and June 2026 meetings.

To make the liquidity situation more comfortable, the RBI conducted net OMOs worth Rs. 2.1 trillion in fiscal year 2022. In fiscal year 2023, the RBI conducted net OMO sales of Rs. 350 billion and hiked the cash reserve ratio (“CRR”) rate by 50 basis points to 4.5 percent in May 2022. In fiscal year 2024, the RBI attempted to reduce excess liquidity from the system. The central bank imposed I-CRR (incremental cash reserve ratio) at its August 2023 policy to reduce liquidity injection related to the withdrawal of Rs. 2,000 notes though reversed it later in a phased manner. The RBI also conducted net OMO sales worth Rs. 185.1 billion in fiscal year 2024 in the secondary market. The RBI conducted two-way tuning operations (VRRs and VRRRs) of different tenures to manage liquidity conditions in 2024, and preferred to keep the liquidity conditions tight. In December 2024, it reduced the CRR by 50 basis points to 4.0 percent, restoring it to the level prevailing before the April 2022 tightening cycle. As liquidity deficits started increasing in 2025, the RBI intervened through a combination of USD/INR buy/sell swaps, OMO auctions, long-duration VRRs, and daily VRRs, injecting additional liquidity to improve the liquidity situation and improve transmission of policy rate cuts in order to support economic activity. Further, in June 2025, the RBI reduced the CRR by 100 basis points to 3.0 percent in four equal tranches between September 2025 and November 2025. Accordingly, banks are required to maintain a CRR of 3.75 percent, 3.5 percent, 3.25 percent and 3.0 percent of their NDTL effective from the reporting fortnight beginning September 6, October 4, November 1 and November 29, 2025, respectively. In fiscal year 2026, the RBI injected liquidity of approximately Rs. 13.8 trillion through a combination of VRR rate cuts, USD/INR buy/sell swaps, OMO auctions, and long-duration VRRs. As a result of these measures, by March 2026, systemic liquidity improved to Rs. 3.2 trillion.

Any volatility in interest rates could have a material adverse effect on our net interest margin, the value of our fixed income portfolio, our treasury income and our financial performance.

Financial and political instability in other countries may cause increased volatility in the Indian financial market.

Global Economic and Market Developments

The Indian market and the Indian economy are influenced by the economic and market conditions in other countries, particularly the emerging market countries in Asia and major global economies like the United States and Eurozone economies, in relation to trade, investment, commodity prices such as oil, capital flows, and supply chains. Accordingly, global slowdowns or booms significantly impact growth, inflation, and investor sentiment in India’s economy, while the Indian economy’s own growth also impacts the global economy. India’s energy sector is under strain due to global energy supply disruptions, primarily due to geopolitical tensions and fluctuations in global oil prices. With India importing approximately 80 percent of its oil requirements, any significant rise in energy prices, as seen in 2025 and 2026, adds substantial pressure on India’s fiscal deficit and inflation. This, in turn, raises input costs for industries, undermines consumer purchasing power, and hampers growth momentum. The pressure on the balance of payments also increases, as higher import bills strain foreign exchange reserves.

Financial turmoil in Sri Lanka, Russia and elsewhere in the world in recent years has affected the Indian financial market as investor sentiment was negatively impacted during such episodes. In 2023, several factors influenced investors’ sentiment, such as the stress in the U.S. regional banking sector, the last-minute revision in the U.S. debt ceiling, and the U.S. sovereign credit rating downgrade. In 2024, the continuing conflict between Russia and Ukraine, the conflict between Israel and Hamas, and lingering stress in the property sector in China were the key factors affecting investor sentiment. In 2025, tariffs on imports by the United States led to tariff-related uncertainty, resulted in financial market volatility, and impacted investors’ confidence. The tariff announcements by the United States and retaliatory tariffs by China led to increased uncertainty and downward revisions in global growth, which significantly and adversely impacted investors’ confidence. Negotiations between the United States and several trading partners resulted in a series of bilateral framework agreements and temporary tariff relief in 2025, though trade tensions remained a persistent source of uncertainty. However, in February 2026, the U.S. Supreme Court ruled that the baseline reciprocal tariffs and certain higher additional tariffs imposed by the U.S. President in April 2025 pursuant to the International Emergency Economic Powers Act (“IEEPA”) were unlawful. Following the ruling by the U.S. Supreme Court, the U.S. President signed a proclamation imposing a new 10 percent global tariff under Section 122 of the Trade Act of 1974. Significant uncertainty remains regarding the imposition of tariffs pursuant to IEEPA, including with respect to timing, amount, the status of any current appeal and the potential for further appeal.

The escalating conflict between Israel and Iran, including U.S. intervention, has also added to market turmoil and volatility in oil prices, which has further adversely impacted investor sentiment. In June 2025, Israel and the United States launched a military strike on Iranian nuclear and military facilities. Iran retaliated by targeting U.S. military bases, certain Israeli territory, and energy and civilian infrastructure in the Gulf states. The conflict expanded further in early 2026 when the United States and Israel launched large-scale strikes against Iran, targeting Iranian military infrastructure and senior leadership. The conflict resulted in significant disruption to global energy markets. For example, crude oil prices surged sharply and disruptions to oil and LNG flows through the Strait of Hormuz intensified concerns about energy supply security. These developments have substantially weighed on investor sentiment globally and added to volatility in financial markets.

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Although economic conditions are different in each country, investors’ reactions to developments in one country can have adverse effects on the securities of companies in other countries, including India. A loss of investor confidence in the financial systems of other markets may cause increased volatility in the Indian financial market and, more generally, in the Indian economy. Any financial instability or disruptions could also have a negative impact on the Indian economy and could harm the Bank’s business, its future financial performance and the prices of its equity shares and ADSs.

The macroeconomic, trade and regulatory environment has become increasingly fragmented, with continuing disruptions of global supply chains in several industries. Such disruptions have been, and may be, caused by, among other things, trade policies, cybersecurity incidents, global health crises, political tensions, war, strikes, riots, civil commotion, violent weather conditions or other natural disasters. Amid increasing inflationary pressures, interest rates rose significantly during the first half of 2023. Central banks in developed markets raised benchmark rates significantly in order to help ease inflationary pressures while also commencing quantitative tightening. With moderating inflation, major central banks (including the European Central Bank (“ECB”), Bank of England (“BoE”) and the U.S. Federal Reserve) started cutting rates in 2024. In 2024, the ECB reduced rates by 100 basis points to 3.0 percent by the end of 2024. Similarly, the BoE reduced policy rates by 50 basis points to 4.75 percent, and the U.S. Federal Reserve also reduced rates by 75 basis points to 4.50-4.75 percent in 2024. In 2025, the U.S. Federal Reserve reduced rates further by 75 basis points, to 3.50-3.75 percent, the ECB reduced rates by 100 basis points to 2.0 percent and the BoE reduced rates by 100 basis points to 3.75 percent. As of the end of June 2026, the BoE and the U.S. Federal Reserve continued to hold rates at 3.75 percent and 3.50-3.75 percent, respectively, while the ECB increased rates by 25 basis points to 2.25 percent in June 2026. However, uncertainty regarding the inflation outlook due to developments in the Middle East and rising energy prices has increased the risk of inflation remaining elevated and could push major central banks to adopt a more cautious approach to rate cuts or, as the ECB did in June 2026, consider rate increases.

The global credit and equity markets have experienced substantial dislocations, liquidity disruptions and market corrections, including in connection with the COVID-19 pandemic, the Russia-Ukraine war and the Middle East conflict. In Europe, the impact of the European sovereign debt crisis, the withdrawal of the United Kingdom from the European Union, Italian political and economic developments, the Swiss bank crisis, protests in France, the refugee crisis and the increasing attractiveness of populist and anti-austerity movements to voters have all contributed to political and economic uncertainty. More recently, the federal elections in Canada, the outcome and political developments following the general elections in Germany, the re-election of Donald Trump and introduction of steep tariffs on imports by the United States and retaliatory tariffs by China, the continuing ambiguity around negotiations relating to the Russia-Ukraine conflict and the United States-Iran conflict, have added to global economic and political uncertainties.

Global Political Developments

Over the last two fiscal years, global political uncertainty has remained elevated, driven by electoral transitions, shifts in trade policy, and ongoing geopolitical conflicts. A key development was the re-election of Donald Trump as the president of the United States in November 2024. Further, elections were held in the United Kingdom in 2024 and in Germany in 2025, which resulted in changes in ruling party/coalition, while in Canada there has been a change in leadership, though the same party returned to power in the elections held in May 2025. In addition, the U.S. midterm elections will take place in November 2026 and could further contribute to volatility in financial markets.

The U.S. administration has levied import tariffs across countries, as well as on some specific products. Although certain countries negotiated bilateral trade agreements with the United States to mitigate the impact of tariffs on trade and supply chains, global political uncertainty driven by shifts in trade policy remains elevated, as discussed above.

In addition, the U.S. administration carried out military strikes in Venezuela and, more recently, in Iran. In Venezuela, the United States relaxed and restructured sanctions following the appointment of an interim administration. With respect to Iran, while negotiations are in progress, trade through the Strait of Hormuz continues to be significantly disrupted as a result of the conflict. The disruption in trade has resulted in elevated energy prices, which could increase food inflation.

An escalation of political risks could have consequences both for the financial system and the greater economy, potentially leading to declines in business levels, write-downs of assets and losses across businesses in the United Kingdom, Switzerland and the European Union, which could lead to adverse consequences for global financial and foreign exchange markets. The ongoing local elections in the UK, the resignation of the UK Prime Minister in June 2026 and the upcoming midterm elections in the United States might lead to changes in their fiscal policies and trade relations with India. The ongoing war in Ukraine entered its fourth year, with limited progress toward a negotiated resolution and with some risk of further escalation in 2026. The market sentiment could worsen if the conflict persists. These conflicts tend to affect energy markets, complicate trade routes, supply chains and global growth prospects.

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In Europe, political fragmentation within the European Union has slowed progress on key economic and climate initiatives. In Asia, tensions in the Taiwan Strait with China conducting military exercises have contributed to elevated geopolitical risk in the Indo-Pacific. Geopolitical tensions between India and Pakistan have increased significantly following the deadly terrorist attack on tourists in Pahalgam in Jammu and Kashmir in April 2025. The suspension of the Indus Waters Treaty suggests a protracted period of strained relations.

Looking ahead, the global political environment is expected to remain volatile. The U.S. midterm elections, tariff-related uncertainty, the continuing ambiguity around negotiations between Russia and Ukraine, and the United States and Iran, and ongoing global conflicts are expected to exacerbate global economic and political uncertainties.

International Trade Developments

In fiscal year 2026, alongside domestic issues, markets closely watched trade negotiations, structural shifts in global trade and supply chain realignment. Beginning in August 2025, tariffs imposed by the United States were significant, which weighed on India’s exports to the United States. As of February 2026, the United States removed a 25 percent additional tariff that it had imposed on India and reached an interim bilateral trade agreement with India which was to be signed in March 2026. However, due to the ruling in February 2026 by the U.S. Supreme Court on IEEPA tariffs, the further negotiations on the bilateral trade agreement are on hold. The final outcome and the net impact of trade negotiations with the United States remains uncertain.

With respect to India’s trade policies, India has concluded major trade agreements in fiscal year 2026, including the India-EU FTA, the India-UK CETA, the India-New Zealand FTA, and the India-Oman CEPA. These agreements are expected to be implemented over the next few quarters and support India’s trade.

Heightened tensions across the geopolitical landscape could also have implications for the Bank and its customers. Diplomatic tensions between China and the United States, and extending to the United Kingdom, the EU, India and other countries, may affect the Bank, creating regulatory, reputational and market risks. Apart from the United States’ tariffs, the United Kingdom, the EU, Canada and other countries have imposed various sanctions and trade restrictions on Chinese individuals and companies. In response, China has announced sanctions, trade restrictions and laws that could impact the Bank and its customers. While the United States and China agreed to lower such tariffs, the absence of a final agreement and other developments could result in persisting trade frictions between the countries which could greatly affect global markets. Furthermore, implementation of the EU’s Carbon Border Adjustment Mechanism (“CBAM”) from January 1, 2026, is also likely to have an impact on customers within sectors with exposure to the EU market. CBAM currently covers six sectors: iron and steel, cement, aluminum, fertilizers, electricity, and hydrogen.

Middle East Conflict

The ongoing geopolitical conflict involving coordinated military actions by the United States and Israel in Iran, which began in late February 2026, has led to heightened regional instability and global market volatility. The strikes, primarily targeting Iran’s nuclear and military infrastructure, triggered retaliatory responses from Iran, including missile attacks and disruptions to key shipping routes. For example, the conflict has significantly disrupted passage through the Strait of Hormuz, which serves as a critical artery for 20 percent of global oil and gas supply. For India, approximately 50 percent of its crude and approximately 60 percent of its liquefied natural gas imports pass through the Strait of Hormuz.

The conflict has also significantly damaged or disrupted oil and gas and other commodity and trade related infrastructure. The conflict has contributed to higher crude oil prices, supply chain disruptions, and increased uncertainty across financial markets, posing risks to global growth and the inflation trajectory, and exacerbating such risks due to the impact of higher energy prices. The conflict has also spread in the region, with additional armed conflict between Israel and Lebanon, and between Iran and the United Arab Emirates, Saudi Arabia, and Qatar. While negotiations are ongoing, prolonged conflict could further disrupt energy supply and increase energy prices, and damage to energy-related infrastructure could extend for several quarters beyond any termination of the conflict. Despite the announcement of a temporary ceasefire in April 2026 and ongoing negotiations for a peace deal, the situation involving Iran remains volatile and uncertain and there is a risk of conflict resuming and even escalating. Potential consequences remain highly uncertain and may include economic sanctions, economic and political instability, increases in the price of oil and natural gas, rising inflation, energy price volatility, increased costs of goods, supply chain disruptions, credit market constraints, and negative impacts on currency exchange rates.

India-Pakistan Standoff

In fiscal year 2026, geopolitical tensions between India and Pakistan increased significantly following the deadly terrorist attack on tourists in Pahalgam in Jammu and Kashmir in April 2025 and have already impacted major treaties and diplomatic relations, with a lingering risk of sudden escalation in military conflict. Terrorist attacks, including the one in Pahalgam, as well as those in Mumbai in November 2008 and Pulwama in February 2019, and other acts of violence or war may negatively affect the Indian markets on which our equity shares trade and adversely affect the worldwide financial markets. These acts may also result in a loss of business confidence, make travel and other services more difficult and, as a result, ultimately adversely affect our business. In addition, any deterioration in relations between India and Pakistan, between India and China or between India and other neighboring countries might result in investor concerns about stability in the region, which could adversely affect the price of our equity shares and ADSs.

Russia-Ukraine Conflict

There has been limited progress toward a negotiated resolution to the ongoing war in Ukraine with increasing risk of further escalations in 2026. This continued to affect energy markets, while keeping defense expenditure elevated across countries. In February 2022, Russia launched a large-scale military invasion of Ukraine, following which many governments enacted severe sanctions against Russia, Belarus, the Crimea, Zaporizhzhia and Kherson regions of Ukraine, the self-proclaimed Donetsk People’s Republic and the self-proclaimed Luhansk People’s Republic, including, among other things, the removal of certain Russian financial institutions from the Society for Worldwide Interbank Financial Telecommunication (“SWIFT”) payment system, which has significantly impacted the ability to transfer funds in and out of Russia. The invasion and ongoing conflict have disrupted financial markets and have had adverse impacts on supply chains, prevailing levels of inflation and other macroeconomic conditions. The conflict could spill over to neighboring countries, and due to political instability in Eastern Europe, it is possible that further sanctions, export controls or other measures against Russia or other countries, regions, officials, individuals or industries in the respective territories may be imposed. Failure to comply with those laws could expose the Bank to civil and criminal prosecution and penalties, the imposition of export or economic sanctions against the Bank and reputational damage, all of which could materially and adversely affect the Bank’s financial results. The extent and duration of the military action, sanctions and resulting market disruptions could remain significant. The conflict has had a substantial impact on the global economy and could continue to impact the economy and our business for an unknown period of time. To the extent Russia’s invasion of Ukraine adversely affects our business and financial results, it may also have the effect of heightening many of the other risks described in this “*Risk Factors*” section.

Israel-Hamas Conflict

In addition to the Russia-Ukraine conflict, the geopolitical conflict between Israel and Hamas continues. Following the Houthis group’s attack on international ships in the Red Sea, the United States and the United Kingdom launched a joint strike in Yemen. In April 2024, Iran was said to have launched a drone attack on Israel after the latter attacked Iran’s foreign consulate in Syria. More recently, concerns have heightened as Israel and Iran have been engaged more directly in the conflict. In January 2025, a ceasefire between Israel and Hamas was reached. However, in March 2025, Israel launched airstrikes across Gaza and further continued the attacks by targeting Iran’s alleged nuclear sites in June 2025. Attacks also persisted despite another purported ceasefire between Israel and Hamas that was reached in October 2025. In May 2026, the Prime Minister of Israel indicated the potential for further military expansion in the region.

As a result, while the conflict has so far been confined to aerial bombings on each other’s territory by Israel and Iran, with some limited U.S. involvement, a risk of further escalation still looms. If the conflict spreads further, there could be upward pressure on oil prices, which could impact global inflation and the interest rate outlook. In such a case, the conflict might impact the global rate cut cycle, which could have implications for global growth.

Financial Services Industry Developments

Events involving limited liquidity, defaults, non-performance, or other adverse developments that affect financial institutions, transactional counterparties, or other companies in the financial services industry or the financial services industry generally, or concerns or rumors about any events of these kinds or other similar risks, have in the past and may in the future lead to market-wide liquidity problems.

Our funding is primarily short- and medium-term, and if depositors do not roll over deposited funds upon maturity, our net income may decrease.

Most of our funding requirements are met through short-term and medium-term funding sources, primarily in the form of retail deposits. Short-term deposits are those with a maturity not exceeding one year. Medium-term deposits are those with a maturity of greater than one year but not exceeding three years. See “*Selected Statistical Information—Funding.*” However, a portion of our assets have long-term maturities, which sometimes causes funding mismatches. As of March 31, 2026, 24.8 percent of our loans are expected to mature within the next year and 41.9 percent of our loans are expected to mature in the next one to three years. As of March 31, 2026, 34.1 percent of our deposits are expected to mature within the next year and 32.9 percent of our deposits are expected to mature in the next one to three years. In our experience, a substantial portion of our customer deposits has been rolled over upon maturity and has been, over time, a stable source of funding. However, if a substantial number of our depositors do not roll over deposited funds upon maturity, our liquidity position will be adversely affected and we may be required to seek more expensive sources of funding to finance our operations, which would result in a decline in our net income and have a material adverse effect on our financial condition. We may also face a concentration of deposits by our larger depositors. Any sudden or large withdrawals by such large depositors may impact our liquidity position. As our depositors provide our principal source of liquidity, a decline in rollovers could further exacerbate any existing imbalance in loans compared to deposits. As a result, if we are unable to maintain or grow our low-cost deposits, our financial condition and results of operations may be materially adversely affected. This risk was heightened following completion of the Transaction due to the volume of high-cost borrowings that we acquired from HDFC Limited.

Any increase in interest rates would have an adverse effect on the value of our fixed income securities portfolio and could have a material adverse effect on our net income.

Any increase in interest rates would have an adverse effect on the value of our fixed income securities portfolio and could have a material adverse effect on our net income. Policy rates set by the RBI have varied over the years as a result of macroeconomic and other factors.

For example, after years of monetary easing, the RBI announced an off-cycle rate hike in May 2022 of 40 basis points and a rate hike of 50 basis points in June 2022. To control rising inflationary pressures due to supply chain disruptions and geopolitical tensions, the RBI raised the repo rate cumulatively by 250 basis points to 6.5 percent in fiscal year 2023 and kept the rate unchanged in 2024. With moderating inflationary pressures and support from domestic growth, the RBI entered a rate cut cycle in 2025, slashing the rate by 25 basis points in each of its monetary policy meetings in February 2025 and April 2025 and by 50 basis points in June 2025, with the repo rate moving from 6.5 percent in February 2025 to 5.5 percent in June 2025. The RBI further reduced the policy rate by 25 basis points in December 2025, bringing the repo rate down to 5.25 percent. Since then, the RBI has maintained the repo rate at 5.25 percent at its February 2026, April 2026 and June 2026 meetings.

With the occurrence of the U.S.-Iran conflict and consequent rise in commodity prices, inflationary risks have resurfaced. Moreover, weather-related disruptions in 2026, such as the prediction of El Niño weather conditions, may further increase the inflation trajectory in fiscal year 2026. In addition, any continued widespread disruption in energy supply due to conflict in the Middle East also presents a risk to growth and may result in continued elevated energy prices. Given this backdrop, the RBI has remained cautious and plans to observe the impact on growth and inflation over the coming months due to global and domestic risks. If inflationary indicators arise, the RBI may increase interest rates over the coming quarters.

We are structurally exposed to interest rate risk, including because of certain mandated reserve requirements of the RBI. See “*Supervision and Regulation—I. Regulations Governing Banking Institutions—RBI Regulations—Legal Reserve Requirements.*” These requirements result in Indian banks, such as ourselves, maintaining assets complying with statutory liquidity ratio (“SLR”) requirements (according to the RBI guidelines currently in force) equal to 18.0 percent of our net demand and time liabilities in securities issued by the Government as SLR. We were also required to maintain a CRR of 3.75 percent, 3.5 percent, 3.25 percent and 3.0 percent of our NDTL effective from the reporting period beginning September 6, October 4, November 1 and November 29, 2025, respectively. We are also required to hold government securities as part of our high-quality liquid assets to maintain our LCR, as mandated by the RBI. This, in turn, means that we could be adversely impacted by a rise in interest rates, especially if the rise were sudden or sharp. A rise in yields on fixed income securities, including Government securities, will likely adversely impact our profitability. A rising interest rate environment acts as a headwind for economic growth and thus can impact our profitability. The aforementioned requirements would also have a negative impact on our net interest income and net interest margins since interest earned on our investments in Government-issued securities is generally lower than that earned on our other interest-earning assets. In addition, the performance of our mutual fund business through our subsidiary HDFC AMC may be impacted by a change in interest rates or by adverse movements in the equity markets, which would have a negative impact on our revenues and profits from this business.

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- On March 26, 2025, the RBI levied a penalty of Rs. 7.5 million on the Bank for not categorizing certain customers into low, medium and high risk categories based on its assessment and risk perception and for allotting multiple customer identification codes to certain customers instead of a Unique Customer Identification Code (“UCIC”) for each customer, which were in contravention of RBI directions on KYC. The penalty was paid by the Bank on March 28, 2025. The Bank has initiated and taken corrective measures, as necessary, to align operations and procedures with applicable regulations.
- On July 11, 2025, the RBI levied a penalty of Rs. 0.5 million on the Bank under section 11(3) of the FEMA Act. The penalty was imposed on account of a loan disbursed by the Bank in November 2021 in contravention of Paragraph 9.3.6 of the Master Direction—Foreign Investment in India dated January 4, 2018. The penalty was paid by the Bank on July 16, 2025. The Bank has undertaken corrective action, as necessary, to address the issue.
- On September 25, 2025, the Dubai Financial Services Authority (“DFSA”) prohibited the Bank’s branch at the Dubai International Financial Centre (“DIFC Branch”) from, among other things, soliciting or conducting business with new clients for specified financial services. The prohibition was imposed in connection with the DFSA’s findings relating to the DIFC Branch carrying on financial services by arranging or advising on financial products and credit for customers who were not onboarded by the DIFC Branch, issues with onboarding of customers at the DIFC Branch, and other matters related thereto. The prohibition does not affect servicing of existing customers and will remain in place until otherwise amended or revoked in writing by the DFSA. The Bank is taking necessary steps to comply with the directives in the decision notice and is committed to work with the DFSA to promptly remediate and address the DFSA concerns at the earliest. The business undertaken at the DIFC Branch is not material to the Bank’s operations or its financial position and accordingly no material impact is expected with respect to the overall operations or financial position of the Bank.
- On November 28, 2025, the RBI levied a penalty of Rs. 9.1 million on the Bank for contravention of provisions of section 19(1)(a) read with section 6(1) of the Banking Regulation Act relating to the forms of business that can be undertaken by the Bank in addition to core banking activities, and contravention of the RBI directions on “Interest Rate on Advances” and “Guidelines on Managing Risks and Code of Conduct in Outsourcing of Financial Services by Banks” and RBI directions on KYC. The penalty was paid by the Bank on December 1, 2025. The Bank has since undertaken corrective action to address the issue.

We also from time to time receive penalty notices from the Indian stock exchanges, Central Depository Services Limited (“CDSL”) and National Securities Depository Limited (“NSDL”), the securities depositories in India, for administrative infractions, such as delays in updating KMP details on the NSE’s portal after making a separate intimation to the NSE, a failure to inform NSDL of a service center address update and the closure and merger of another such center, and delays in submissions of responses to alerts raised by CDSL. Although these notices have not been qualitatively or quantitatively material to the Bank in the past, they could be material in the future.

We cannot predict the outcome of any ongoing or future inspections or investigations by the RBI or the SEBI, or by other authorities, including overseas authorities, relating to our operations in India or abroad, which may include investigations with respect to KYC, AML, fraud reporting standards, customer due diligence, transaction settlement procedures, misselling or other matters. Some of the penalties imposed by the RBI have generated adverse publicity for our business. Such adverse publicity, or any future scrutiny, investigation, inspection or audit which could result in fines, public reprimands, damage to our reputation, significant time and attention from our management, costs for investigations and remediation of affected customers, may materially adversely affect our business and financial results. See “—Risks Relating to our Business—Negative publicity could damage our reputation and adversely impact our business and financial results.”

Transactions with counterparties in countries designated as state sponsors of terrorism by the United States Department of State, the Government of India or other countries, or with persons or entities targeted by U.S., Indian, EU or other economic sanctions may cause potential customers and investors to avoid doing business with us or investing in our securities, harm our reputation or result in regulatory action which could materially and adversely affect our business.

We engage in business with customers and counterparties from diverse backgrounds. Countries or jurisdictions that are subject to economic sanctions currently imposed by the U.S. Government (including the Office of Foreign Assets Control of the U.S. Department of the Treasury and the U.S. Department of State), the European Union, the United Nations or other law enforcement agencies or sanctions or export controls authorities (“Sanctions Authorities”) include the Crimea, Zaporizhzhia and Kherson regions of Ukraine, in each case to the extent that such areas of Kherson or Zaporizhzhia are under control of Russia, the so-called Donetsk People’s Republic, the so-called Luhansk People’s Republic, Cuba, Iran and North Korea. Such list of countries or jurisdictions may change from time to time. In light of these sanctions, as well as other sanctions administered or enforced by the Sanctions Authorities, it cannot be ruled out that some of our customers or counterparties may become the subject or target of sanctions. Such sanctions may result in our inability to gain or retain such customers or counterparties or receive or process payments from them. In addition, the association with such individuals, entities or countries may damage our reputation and, if such association is not in compliance with relevant sanctions, could expose the Bank to civil and criminal prosecution and penalties or the imposition of sanctions against the Bank. This could have a material adverse effect on our business and financial results, and the prices of our securities. These laws, regulations and sanctions or similar legislative or regulatory developments may further limit our business operations.

Any volatility in the exchange rate may lead to a decline in India’s foreign exchange reserves and may affect liquidity and interest rates in the Indian economy, which could adversely impact us.

India has run a current account deficit of various sizes every year for the past five years. In fiscal year 2022, India’s current account deficit stood at 1.2 percent of GDP on account of post-pandemic pent-up demand. In fiscal year 2023, the current account deficit increased further to 2.1 percent of GDP as the geopolitical conflict between Russia and Ukraine led to an increase in commodity prices. The current account deficit stood at 0.7 percent of GDP in fiscal year 2024, with services exports and remittances offsetting much of the drag from the merchandise trade deficit. In fiscal year 2025, the current account deficit moderated to 0.6 percent of GDP supported by healthy services exports. For fiscal year 2026, India’s current account deficit remained at 0.6 percent of GDP.

Looking ahead, given the increase in commodity prices due to the Middle East conflict, India faces headwinds in terms of its widening current account deficit. A sustained increase in energy prices in the event of a prolonged conflict, along with any drag on exports to the Middle East or remittance inflows from the region presents further risks for India’s current account balance. Combined with the pressure on capital inflows due to heightened global risk aversion, these conditions have increased and are expected to continue increasing currency volatility in 2026.

Except for a 2.8 percent appreciation in fiscal year 2021 in part due to a weak dollar and robust foreign flows, the rupee has depreciated against the United States dollar each year since 2018. The rupee’s depreciation intensified in fiscal year 2023 due to a sharp increase in U.S. interest rates. With a strong U.S. dollar and foreign institutional investors (“FII”) outflows, the rupee depreciated by 8.1 percent in fiscal year 2023. The rupee ranged between a high of Rs. 83.20 per US\$ 1.00 and a low of Rs. 75.39 per US\$ 1.00 during fiscal year 2023. During fiscal year 2024, the rupee traded in a tight range against the United States dollar (trading between Rs. 81.65 and Rs. 83.58 per US\$ 1.00) and depreciated by 1.4 percent. Equity flows and investment in debt instruments by FIIs ahead of India’s sovereign debt inclusion in major global bond indices supported the rupee against the United States dollar. During fiscal year 2025, the rupee depreciated by 2.5 percent and traded in the range of Rs. 83.06 and Rs. 87.63 per US\$ 1.00. Total FII investments moderated in fiscal year 2025, pressured by negative net equity flows.

With uncertainty on the tariff front and a weak growth outlook relative to the U.S. dollar, the rupee appreciated in the early months of fiscal year 2026. However, the imposition of 50 percent tariffs by the U.S. in August 2025 sustained depreciation pressures on the rupee against the U.S. dollar. During fiscal year 2026, the rupee weakened by close to 9 percent against the U.S. dollar. This was primarily driven by uncertainty related to tariffs applicable to exports from India, FII outflows and higher crude oil prices on account of geopolitical tensions in the Middle East.

The RBI has intervened in the foreign exchange market to curtail extreme volatility and has introduced regulatory measures to curb speculative positioning in the rupee since March 2026. The RBI continues to sustain its foreign exchange reserves, which amounted to approximately US\$ 675 billion as of July 10, 2026, representing an amount sufficient to cover approximately 10 months of imports.

In the domestic market, it remains a possibility that the RBI will intervene in the foreign exchange markets to remove excess volatility in the exchange rate in the event of potential shocks, such as a rise in protectionist tendencies creating panic in emerging market economies or excess financial market volatility. Any such intervention by the RBI may result in a decline in India’s foreign exchange reserves and, subsequently, reduce the amount of liquidity in the domestic financial system, which could, in turn, cause domestic interest rates to rise.

Further, any increased volatility in capital flows may also affect monetary policy decision-making. For instance, a period of net capital outflows might force the RBI to keep monetary policy tighter than optimal to guard against currency depreciation. Volatility in exchange rates that adversely affects liquidity and interest rates in the Indian economy could have a material adverse impact on our margins and therefore on our financial condition more generally.

Over the medium term, the impact of the Trump presidency in the United States, heightened geopolitical tensions between Russia and Ukraine, China and Taiwan, Israel and Hamas, and the United States and Iran increase the risk of a shift of foreign fund flows from emerging markets to developed markets. Additionally, a decrease in global liquidity could reduce the attractiveness of emerging market assets. Moreover, the rise in inflationary risks globally due to the recent surge in energy and commodity prices has increased the chances of interest rate hikes by major central banks.

Global Developments

Our financial condition and results of operations are also affected by certain global events like widespread health emergencies (or concerns over the possibility of such emergencies), such as the COVID-19 pandemic, geopolitical volatility and the actions taken in response to it, which can cause significant volatility in demand for our products, changes in customer behavior and preferences, financial distress for our customers and related increases in customer defaults and provisions for losses, disruptions to our capital expenditure initiatives, limitations on our employees’ ability to work and travel, significant changes in the economic or political conditions in markets in which we operate and related currency volatility, restrictions on our access to, and increases in the cost of capital and increased regulatory requirements. The war in Iran, involving the United States and Israel, and the escalating regional instability in the Middle East, have complicated the geopolitical landscape and contributed to significant volatility in energy and commodity prices. There have also been logistical restrictions due to the closure of the Strait of Hormuz, which has also increased freight and insurance charges. This could impact the Bank’s customers with exposure to the Middle East, or otherwise impact customers through shortage in supply or increase in price of key commodities imported from the region, potentially resulting in additional upward pressure on energy and commodity prices.

For additional information about factors and trends affecting our results of operations, please see “*Risk Factors—Economic and Political Risks*” and “*Risk Factors—Risks Relating to Our Structure and the Transaction*”. See also “*Selected Financial and Other Data*” and “*Selected Statistical Information*”.

Critical Accounting Estimates

Allowance for Credit Losses

We have set forth below the details of our accounting policy and estimates used for the purposes of allowances for credit losses. We provide an allowance for credit losses based on our estimate of losses inherent in the loan portfolio which includes restructuring. The allowance for credit losses consists of allowances for retail loans and wholesale loans.

Our allowance for credit losses is comprised of:

- the allowance for credit losses, which covers our loan portfolios and is presented separately on the balance sheet in loans;
- the allowance for lending-related commitments, which is recognized on the balance sheet in “*Accrued expenses and other liabilities*”;
- the allowance for credit losses on investment securities, which covers our AFS debt securities and is recognized on the balance sheet in “*Investments available for sale debt securities, at fair value*” on the balance sheet; and
- the allowance for credit losses on other financial assets measured at amortized cost, and other off-balance sheet credit exposures, which is recognized on the balance sheet in “*Accrued expenses and other liabilities*”.

All changes in the allowance for credit losses are recognized in the consolidated statement of income.

Our policies used to determine our allowance for credit losses and our allowance for lending-related commitments are described in the following paragraphs:

Our portfolio is bifurcated into retail and wholesale portfolios, wherein the retail portfolio is segmented into homogenous pools using various factors such as nature of product, delinquencies, and other demographic and behavioral variables of the borrowers. The wholesale portfolio is segmented into various risk grades on the basis of a host of quantitative and qualitative factors including financial performance, industry risk, business risk and management quality. The allowance for loan-related losses and allowance for lending-related commitments represents expected credit losses over the remaining expected life of outstanding loans and lending-related commitments that are not unconditionally cancelable. We do not record an allowance for future drawings on unconditionally cancelable lending-related commitments (for example, credit cards). We do not record an allowance on accrued interest receivables on the balance sheet due to our policy to reverse interest income on loans more than 90 days past due and in the case of agricultural loans more than 365 days past due, and also on any loans classified as non-performing. The expected life for retail loans and wholesale loans is determined based on their contractual terms and expected prepayments as applicable. The expected life of funded credit card loans is generally estimated by considering expected future payments on the credit card account. We have an unconditionally cancelable clause (“UCC”) for credit card lines and in accordance with current expected credit loss (“CECL”) accounting guidance, we make an allowance only for debt drawn at the time of expected loss measurement. We apply expected principal payments to the credit card receivable balances existing at the reporting date until the balance is exhausted.

- (b) any associate firm(s) of the outgoing audit firm which are under the same network of audit firms wherein the term “same network” includes the firms operating or functioning, hitherto or in future, under the same brand name, trade name or common control.
- (iii) Existing auditors may be appointed for a maximum of 10 years (including all preceding years for which an auditor has been appointed in terms of Regulation 69 of the 2026 SEBI Mutual Funds Regulations). In this respect, the following may be noted:
 - (a) auditors who have conducted the audit of the mutual fund for less than nine years (as on November 30, 2017) could continue for the residual period of service;
 - (b) auditors who have conducted the audit of the mutual fund for nine years or more (as on November 30, 2017) could continue until the end of fiscal year 2019; and
 - (c) such auditors were subsequently eligible for reappointment after a cooling-off period of five years, in terms of paragraph B(i) and paragraph B(ii) above.

IV. Disclosures pursuant to Section 13(r) of the Exchange Act

Pursuant to Section 13(r) of the U.S. Securities Exchange Act of 1934, as amended (the “Exchange Act”), an issuer is required to disclose in its periodic reports whether it or any of its affiliates knowingly engaged in certain activities, transactions or dealings relating to Iran or with individuals or entities designated pursuant to certain Executive Orders. Disclosure may be required even where the activities, transactions or dealings were conducted in compliance with applicable law. Except as set forth below, as of the date of this annual report, HDFC Bank is not aware of any other activity, transaction or dealing by it or any of its affiliates during the year ended March 31, 2026, and through the date of this annual report that requires disclosure under Section 13(r) of the Exchange Act.

- In January 2026, the United States designated a corporate customer of HDFC Bank as an SDGT under Executive Order 13224. We blocked the customer’s account following its designation.

Revenue and net income generated in connection with the above-described products and services in the year ended March 31, 2026 were negligible relative to our overall revenue and net income.

HDFC BANK LIMITED AND SUBSIDIARIES

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS—(Continued)

The following table summarizes derivative instruments measured at fair value on a recurring basis as of March 31, 2025, segregated by the level of valuation inputs within the fair value hierarchy:

<u>Particulars</u>	<u>Total</u>	<u>Fair Value Measurements Using</u>		
		<u>Quoted prices in active markets for identical assets (Level 1)</u>	<u>Significant other observable inputs (Level 2)</u>	<u>Significant unobservable inputs (Level 3)</u>
		<u>(In millions)</u>		
Derivative assets	Rs. 179,812.4	Rs. —	Rs. 179,812.4	Rs. —
Derivative liabilities	Rs. 143,566.1	Rs. —	Rs. 143,566.1	Rs. —

The following table summarizes derivative instruments measured at fair value on a recurring basis as of March 31, 2026, segregated by the level of valuation inputs within the fair value hierarchy:

<u>Particulars</u>	<u>Total</u>	<u>Fair Value Measurements Using</u>		
		<u>Quoted prices in active markets for identical assets (Level 1)</u>	<u>Significant other observable inputs (Level 2)</u>	<u>Significant unobservable inputs (Level 3)</u>
		<u>(In millions)</u>		
Derivative assets	Rs. 624,206.5	Rs. —	Rs. 624,206.5	Rs. —
Derivative liabilities	Rs. 578,276.3	Rs. —	Rs. 578,276.3	Rs. —

34. Risk and uncertainties

The Bank continues to monitor the developments in the ongoing war between Russia and Ukraine (which has entered its fourth year), the geopolitical conflict between Israel and Hamas, the war in Iran involving the United States and Israel, the escalating regional instability in the Middle East, the logistical restrictions due to the closure of the Strait of Hormuz and the added tensions in the immediate region consequent to the terrorist attack on tourists in Pahalgam in Jammu and Kashmir, which complicates the geopolitical landscape. The tariff announcements by the United States in February 2025 and the retaliatory tariffs by China have led to increased uncertainty in the world markets. In February 2026, the U.S. Supreme Court ruled that the baseline reciprocal tariffs and certain higher additional tariffs imposed by the U.S. President in April 2025 pursuant to the International Emergency Economic Powers Act (“IEEPA”) were unlawful. Following the ruling, the U.S. President signed a proclamation imposing a new 10 percent global tariff under Section 122 of the Trade Act of 1974. Significant uncertainty remains regarding the imposition of tariffs pursuant to IEEPA, including with respect to timing, amount, the status of any current appeal and the potential for further appeal.

35. Subsequent events

In its meeting held on April 18, 2026, the Board of Directors of the Bank recommended a final dividend of Rs. 13.0 per share for the fiscal year ended March 31, 2026 subject to approval of the shareholders at the next Annual General Meeting to be held. The amount of such dividend aggregated to Rs. 200,113.8 million as of March 31, 2026.

On June 16, 2026, the Bank’s IFSC banking unit, GIFT City, raised US\$ 750 million through the issuance of five-year 5.067% senior unsecured bonds maturing on June 24, 2031.